

Task 3 – Peer Group Analysis

For this task, you will conduct a **comparative financial analysis** of a European car manufacturer. The focus is on assessing the company's **efficiency** and **financial health** relative to a relevant peer group. This exercise will deepen your understanding of peer group benchmarks and how they can contextualize a company's financial performance.

Instructions:

1. Identify a car manufacturer worth investing in

Begin by reviewing the dataset and selecting a car manufacturer that you believe could be a strong investment candidate. Consider initial metrics of financial strength or growth potential to guide your choice.

If you have already analyzed a DAX car manufacturer in Task 1 or 2, please select a different manufacturer here.

2. Define an appropriate peer group for comparison

Identify a relevant peer group of companies from the dataset to serve as a benchmark. Establishing a relevant benchmark group is crucial for meaningful comparisons, so choose peers that reflect the competitive environment your company operates in.

3. Analyze and compare ratios

Perform a ratio analysis for your company and its peer group to assess efficiency and financial health. You are expected to select and justify a **comprehensive set of ratios that best capture** efficiency and financial health in this industry. Examine how these ratios position your chosen company within the industry, highlighting any competitive strengths or weaknesses.

4. Visualize your analysis in Tableau

Create a Tableau dashboard to illustrate your findings. Use visualizations that clearly compare the financial performance of your chosen company with the peer group, allowing for easy interpretation of the analyzed areas. Your dashboard should be visually appealing, easy to interpret, and structured to convey key insights about the company's financial situation.

5. Documentation – Give an Investment Recommendation

Your documentation should include:

- **Company choice:** Why did you pick this car manufacturer? What made it an interesting investment candidate?
- **Peer group definition:** Which companies form your benchmark group, and why are they relevant? What factors did you consider?
- **Method & ratios:** Which ratios did you calculate and why? Did you face any challenges (e.g., missing values, misleading naming)?
- **Results:** How do the ratios position your company relative to peers? Highlight areas of relative strength and relative weaknesses and discuss potential explanations.
- **Investment recommendation:** Based on your analysis of the company, does the company look stronger (or weaker) than its competitors? Would you invest in the company or not?

Your documentation should not exceed **3 pages**. Please focus on presenting the key points in a concise and structured way.